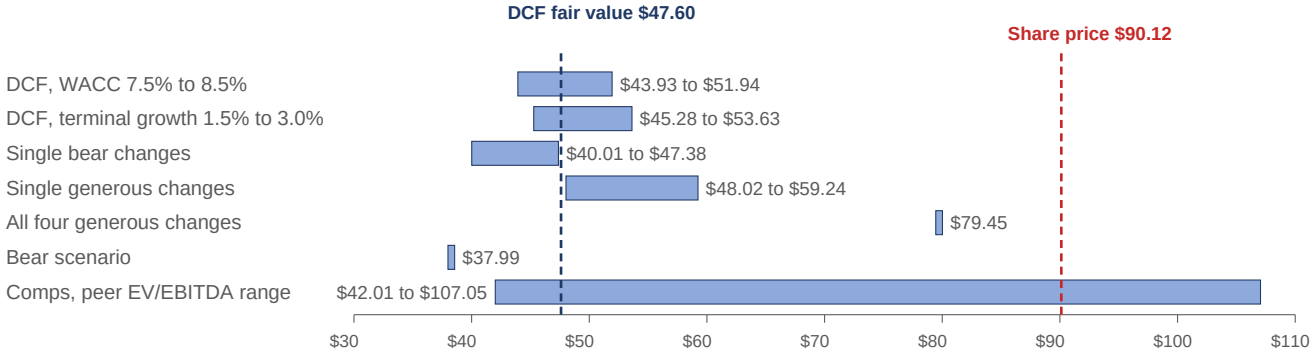
The Coca-Cola Company (NYSE: KO)

SELL	Desk rating: SELL (PM final, 13 Oct 2026)	Fair value $47.60	Share price $90.12 (13 Oct 2026)	Upside -47.2%	Bear case $37.99

Memo of 13 October 2026. Desk rule: BUY at +15% or more, SELL at -10% or worse; the PM's final rating is SELL. **HOLD starts at $81.11, BUY at $103.64.** Per-share values in US dollars (USD); totals in USD m.



Thesis

- **The price needs a much lower cost of capital.** The WACC (the yearly return lenders and shareholders require) is 8.00% in our model; the share price implies about 5.5%. No reasonable single change takes KO out of SELL.
- **The cash yield is below the risk-free rate.** FY26 free cash flow guidance of $12.4bn is a 3.20% yield on the market value, against 5.22% on the 10-year US Treasury, at about 30x earnings, before any IRS payment.
- **A high-quality business, fully priced.** ROIC is 27.0% and the margin ex-CCBA 33.2%, but stacking the four most generous assumptions still gives $79.45, below the HOLD line.

Valuation

DCF in USD m at the 31 Dec 2025 balance sheet, mid-year discounting (56% of FY26 guided cash, $6.9bn of $12.4bn, came in the first half), rolled forward to 13 Oct 2026 at the cost of equity less USD 6,840m of dividends.

- **Growth (USD, ex-CCBA):** base revenue USD 44,309m; 6.0% in FY26 (guidance), then 3.0% a year (FY27-30).
- **Savings flow-through:** none (no announced programme); margin held flat at 33.2%. Tax 23.7%.
- **WACC 8.00%:** risk-free 5.22%, beta 0.6091, equity risk premium 5.0%, cost of equity 8.27%; cost of debt 5.91% (risk-free + 0.69% single-A spread); debt weight 7.1%.
- **Terminal:** growth 2.0%; capex 4.76% of sales, so new investment earns 27% (RONIC, the return on new capital).

Bridge (USD m): EV 198,455 - net debt 29,686 - leases 1,722 - minorities 2,106 - IRS 14,000 + equity stakes 46,626 + CCBA proceeds 1,300 = 198,867; 204,794 at 13 Oct; 4,302m shares = **$47.60**. Terminal value is 75.1% of EV (FLAG, limit 75%); exit multiple 11.1x EBITDA, below every peer and KO's own 26.1x. Comps: peer median EV/EBITDA 19.1x (PepsiCo 11.4x, Keurig Dr Pepper 19.1x, Monster 29.1x) gives $42.01 / $70.07 / $107.05; little weight (three peers, KDP distorted, forward P/E MISSING).

Value per share (USD)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 7.00%	53.58	57.15	61.50	66.93
WACC 7.50%	49.08	51.94	55.37	59.54
WACC 8.00%	45.28	**47.60**	50.35	53.63
WACC 8.50%	42.01	43.93	46.16	48.79
WACC 9.00%	39.19	40.78	42.62	44.76

IRS case (PM decision: assume a loss). The bridge deducts USD 14,000m of tax and interest for 2010-25 (10-K), and tax is 19.9% + 3.8 points = 23.7%. The USD 900m 2026 accrual is not added (the 23.7% already charges 2026). The $6.0bn deposit is not refunded. A win gives $54.90, still SELL. Management has said since 2020 that it will prevail, but has lost at the Tax Court twice.

CCBA (African bottler being sold). Coca-Cola does not disclose CCBA's revenue, so the base removes the buyer's figures (2024 revenue EUR 3,357m, EBIT EUR 246m) and adds the USD 1,300m sale price plus the retained 25% (USD 850m). **Caveat:** Coca-Cola HBC's announcement was seen via web search only (PM to verify; a data provider matches).

Minorities may be over-deducted by about $0.26 a share.

Fundamentals

- **Growth slowing:** organic 16% (FY21, FY22), 12% (FY23, FY24), 5% (FY25); reported 1.9% in FY25 after currency. Volume flat.
- **Margins up, partly mix:** comparable 28.7% (FY22) to 31.2% (FY25), helped by selling bottlers; impairments of USD 1,045m in FY25 are excluded.
- **Returns high:** ROIC 25.0%, 27.5%, 27.9%, 27.0% (FY22-25); 31.4% in FY25 without the IRS deposit.
- **Cash hit by one-offs, debt steady:** FY25 free cash flow USD 5,296m (USD 11,365m before the fairlife payment); net debt / comparable EBITDA fell from 2.40x (FY21) to 1.85x (FY25).

Risks

- **Beta** (sensitivity to the market): 0.6091, the US soft-drinks industry beta (0.5755) relevered. KO's own regressions give 0.13 to 0.35, R-squared 1-12%. HOLD needs 0.061.
- **Volatility:** 18.9% (1 year) and 16.7% (5 years) vs 17.0% for the S&P 500 (5 years).
- **Drawdown:** maximum -17.3% over 5 years, $58.08 (22 Apr 2022) to $48.05 (5 Oct 2023), dividend-adjusted.
- **Leverage:** 1.85x net debt / comparable EBITDA (2.00x reported, 2.12x with leases); interest cover 8.3x; rated A+. Paying the USD 14,000m IRS liability would lift it to 2.72x. KO's own target is MISSING.

Bear case and our response

No bear change flips the rating. Values in USD per share.

Challenge	Test: value (impact)	Response
1. Peak margin	30.0%: $42.82 (-$4.79); 31.94% ex-CCBA: $45.73 (-$1.88)	30.0% includes CCBA but is applied to ex-CCBA sales; PM decision: bear margin 31.9% (-$1.88)
2. Currency drag	1% growth FY27-30: $44.31 (-$3.30); FY26 4.5%: $46.89 (-$0.71)	Stress test; the growth evidence calls 1% too punitive
3. IRS and cash	add the USD 900m accrual: $47.38 (-$0.22)	Loss already in base; model FY26 cash (USD 11,358m) reconciles to guidance (USD 12,400m)
4. Stakes at market	31 Dec 2025 values: $46.30 (-$1.30); Monster -30%: $46.29 (-$1.32); 21% tax on gain: $46.28 (-$1.33)	Small. PM decision: no tax deducted (tax basis not disclosed; impact $0.03)
5. Beta at a low	0.868 (2022-26 average): $40.01 (-$7.60); 0.741 (2024): $43.40 (-$4.21)	9.20% WACC, above the 6-9% range. PM decision: keep 0.6091, the current industry beta (as for Diageo)

Is the SELL just a harsh base case?

Desk assumption	Generous alternative	Value	Impact
Beta 0.61	0.35 (KO regression)	$59.24	+$11.64
IRS case lost	Win, $6.0bn refunded	$54.90	+$7.29
Terminal growth 2.0%	3.0%	$53.63	+$6.02
RONIC 27.0%	31.4%	$48.02	+$0.41
All four together		**$79.45**	**+$31.85, still SELL**

PM view: SELL (final). No single bear or generous change leaves SELL, and all four generous changes together ($79.45) stay below HOLD ($81.11). The price needs a WACC of about 5.5% against our 8.0%, and the comps median ($70.07) is also well below the price. Open: a check of the CCBA source figures against Coca-Cola HBC's announcement.

Sources

- Coca-Cola FY25 Form 10-K (SEC accession 0001628280-26-010047, filed 20 Feb 2026): balance sheet, Note 2 (held for sale), Note 10 (leases), Note 14 (pensions), Note 19, Note 20 (segments, pp.116-117), equity method investments note, IRS liability (XBRL ko:IncrementalTaxAndInterestLiability); 10-Ks FY22-FY24 (SEC EDGAR XBRL).
- Coca-Cola results 8-Ks (exhibit 99.1): Q4 2025 (0001628280-26-006642, pp.26, 28), Q2 2026 (0001628280-26-049922, FY26 outlook and first-half free cash flow), Q4 2019-Q4 2024 for the guidance track record.
- Coca-Cola 10-Qs: Q1 2026 (0001628280-26-028802) and Q2 2026 (0001628280-26-050503, Note 9: tax rate +3.8 points, USD 900m accrual).
- Coca-Cola HBC CCBA acquisition announcement, 21 Oct 2025 (factsheet and presentation on coca-colahellenic.com; seen via web search, PM to verify); MarketScreener cross-check (docs/phase5/ko-evidence-audit.md).
- FRED: DGS10 (2026-10-08), ICE BofA single-A spread BAMLC0A3CA (2026-10-08), DEXUSEU (2024 average).
- Yahoo Finance: KO, S&P 500, peer and listed-stake prices (13 Oct 2026), dividend dates; Damodaran, Betas by Sector (US), January 2026 (file supplied by the PM).
- Peers PepsiCo, Keurig Dr Pepper, Monster: SEC EDGAR XBRL. PM decisions: briefs/KO.yaml; evidence packs docs/phase5/. Agent outputs: runs/KO/2026-10-13/.